

Meta Platforms, Inc.

META NASDAQ

Hold	\$545.83 ▼ 0.04%	12M Price Target \$620.00	52-Week Range \$520.26 – \$790.80	Market Cap \$1.39T
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META: Near 52-Week Lows as Tech Sells Off, Insiders Exit

WHAT HAPPENED

- META just crashed from \$590 to \$545 in four sessions — that's a 7.5% drop and it's now sitting at just 9% of its 52-week range (meaning it's basically scraping the bottom of where it's traded all year). The tech sector as a whole is off 4% in five days, so this isn't just a META story — rising Treasury yields are punishing every high-growth name because when you can get 4.5%+ risk-free from bonds, expensive stocks look less attractive.
- Two red flags stacked on top: the CFO (Susan Li) sold over \$2.7M in stock on 8/18 right as the drop accelerated, and options traders are loading up on puts at \$620, \$640, \$660 strikes — those are bets that the stock stays BELOW those levels. Insiders selling + smart money buying downside protection = the pros aren't feeling great short-term.

WHY IT MATTERS

Here's what I think is really happening: META isn't broken, but it's caught in a nasty crossfire. The macro problem is spiking Treasury yields (the return on government bonds) — when yields rise, investors dump expensive tech and rotate to safer stuff, which is exactly what the sector ETF data shows (Energy +4.4% while Tech -4%). The company-specific problem is the teen lawsuit dismissal ahead of the October trial — while a dismissal sounds bullish, the fact that this is even a headline means the social-media-harms-kids narrative is still very much alive heading into an election-adjacent political environment where regulating Big Tech is one of the few bipartisan issues. Bottom line: the fundamentals (ad business, AI infrastructure) are fine, but sentiment and positioning are ugly, and insiders selling into weakness tells you they don't see an imminent snapback.

POLICY & POLITICAL WATCH

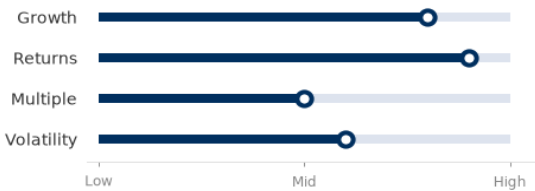
The big overhang right now is KOSA (Kids Online Safety Act) and state-level equivalents — if any version passes with teeth, META has to fundamentally rebuild how teens use Instagram, and that's the second-most-engaged demographic on the platform. Also watch the FTC's ongoing antitrust case trying to force divestiture of Instagram and WhatsApp — a ruling could come any time, and while most analysts think META wins, the tail risk is enormous. On the friendlier side: the administration's aggressive stance on Chinese apps (TikTok pressure continuing) is a massive tailwind — every hour a teen doesn't spend on TikTok is an hour Reels can monetize.

IS IT EXPENSIVE?

Key Data

Price (USD)	\$545.83
12M Price Target	\$620.00
Upside / (Downside)	+13.6%
Market Cap	\$1.39T
FY2026E Revenue	\$197M
FY2027E Revenue	\$225M
FY2026E EPS	\$27.50
FY2027E EPS	\$32.00
Fwd P/E	19.8x

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P 500



PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	\$590.00	\$560.00	\$510.00
6 Months	\$680.00	\$610.00	\$480.00
1 Year	\$750.00	\$620.00	\$450.00
2 Years	\$900.00	\$700.00	\$420.00
5 Years	\$1200.00	\$850.00	\$380.00
10 Years	\$2000.00	\$1200.00	\$350.00

WHAT'S MOVING IN THE SECTOR

HEATING UP: Energy (+4.4% in 5 days) — this is a yield/inflation story; when rates rise and oil holds firm, energy wins. Real Estate holding up on rate-cut speculation.

COOLING OFF: Technology (-4%) and Communication Services (-1.7%, META's actual sector) — classic duration selloff, meaning long-duration growth stocks get hit hardest when discount rates rise.

ROTATION WATCH: Money is fleeing high-multiple tech into cyclical and yield plays ahead of Nvidia earnings — everyone's positioning defensively in case NVDA disappoints and takes the whole AI trade down.

RELATED PLAY: If you believe META specifically gets bought here, GOOGL is trading at a similar discount with less regulatory hair, and Trade Desk (TTD) is a pure-play ad-tech name that benefits from the same digital ad tailwind without the antitrust drama.

WHO'S WINNING IN THIS SPACE?

- XOM (Exxon): Energy leading as oil holds and yields rise — pure macro rotation trade
- AVGO (Broadcom): Getting bought on the AI-infrastructure dip; analysts calling it the "picks and shovels" AI play with better margins than Nvidia

META CONTEXT: META is LAGGING badly — down 7.5% in a week while the broader tech ETF is only off 4%, meaning it's underperforming its own sector. That's a yellow flag; when a name gets sold harder than its peers, either something specific is wrong or it's simply where hedge funds are trimming winners. Given insider selling patterns, I lean toward the latter — profit-taking after a huge run, not a fundamental break.

WHAT I'D DO WITH THIS STOCK

6/10 Conviction Score

Position Size: 3-5% of portfolio

Entry Points: \$520-535 range

Time Horizon: 12-18 months

Thesis Invalidation: Ad revenue growth slows below 10% YoY or major EU/US antitrust ruling forces divestiture

Hedging: Buy Sep puts at \$520 strike or pair with short GOOGL